

Bretton Woods Agreement Act, 1961

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 15

Bretton Woods Agreement Act, 2018

Date of Seal and Publication

2018.4.5

Amending Acts

1. Act to Amend, Repeal and Re-enact Certain Nepal Acts, 2019 2019.12.30
2. Bretton Woods Agreement (First Amendment) Act, 2027 2027.12.30
3. Bretton Woods Agreement (Second Amendment) Act, 2034 2034.9.18

Date of Certification and Publication

4. This Act has come into force from Jestha 15, 2065. Act to Consolidate the Republic and Amend Certain Nepal Laws, 2066 2066.10.17
5. Act to Amend Certain Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075 2075.11.19
6. Act to Amend Certain Nepal Acts, 2082 2082.04.14

Act No. 10 of the Year 2018

Repealed by the Act to Consolidate the Republic and Amend Certain Nepal Laws, 2066

An Act made to accept the international agreements relating to the establishment and operation of the International Monetary Fund and the International Bank for Reconstruction and Development and to enable Nepal to become a member of the said Fund and Bank

Preamble: Whereas, in accordance with the Agreement made at the United Nations Monetary and Financial Conference held in July 1944 at Bretton Woods, New Hampshire, United States of America, the International Monetary Fund and the International Bank for Reconstruction and Development have been established, and

Whereas, the International Monetary Fund and the International Bank for Reconstruction and Development have specified conditions under which Nepal may become a member of the International Monetary Fund and the International Bank for Reconstruction and Development subject to the conditions mentioned in Schedules 1 and 2 of this Act, and

Whereas, it is necessary to make provisions for the matters hereinafter mentioned in order to fulfill the conditions as written above,

Therefore, by virtue of Article 93 of the Constitution of Nepal amended by the Act to Amend, Repeal and Re-enact Certain Nepal Acts, 2019.from His Majesty King Mahendra Bir Bikram Shah Dev, this Act is enacted. 1. Short Title and Commencement: (1) This Act may be called the "Bretton Woods Agreement Act, 2018."

(2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Fund" means the International Monetary Fund.

(b) "Bank" means the International Bank for Reconstruction and Development.

(c) "Fund Agreement" means the Articles of Agreement of the Fund added by the First Amendment, and the said words shall also include amendments to the Fund Agreement.

(d) "Bank Agreement" means the Articles of Agreement of the Bank. Added by the Second Amendment. (e) "Special Drawing Rights" means the right to draw funds from the special account in the Fund allocated to participants to meet the need for international liquidity. 3.

Authority to make Agreements and deposit Instruments of Acceptance: The Minister of Finance of the Government of Nepal may, by executing an instrument under his/her signature, authorize a person specified in that instrument to do the following on behalf of the Government of Nepal: (a) To sign the Articles of Agreement of the International Monetary Fund and the Articles of Agreement of the International Bank for Reconstruction and Development. (b) To deposit with the Government of the United States of America an instrument of acceptance of the Fund Agreement and the Bank Agreement, stating that the Government of Nepal has, in accordance with Nepalese law, accepted the relevant Agreements and the conditions specified therein, on which conditions Nepal will be granted membership in the International Monetary Fund and the International Bank for Reconstruction and Development. Added by the First Amendment. (c) To accept the First Amendment to the Fund Agreement and to deposit an instrument of consent making Nepal a participant in the Special Drawing Rights provided for in that Amendment. Added by the Second Amendment. (d) To accept the Second Amendment to the Fund Agreement and to deposit an instrument of consent accepting the obligations mentioned in that Amendment, and to accept the increase in Nepal's quota and shares in the Fund and Bank. 4. Authority to make payments to the Fund and Bank: The Minister of Finance shall have the authority to pay from the amended by the Act to Amend Certain Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075. Federal Consolidated Fund any amounts that may become payable from time to time to the said Fund and Bank on behalf of the Government of Nepal in accordance with the conditions written in Schedule Repealed by the Second Amendment and the Fund Agreement and the Bank Agreement. Added by the First Amendment. 4a. Obligation to provide currency: Amended by the Act to Amend Certain Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075. The Minister of Finance of the Government of Nepal shall, on behalf of the Government of Nepal, provide freely usable currency to a participant using Special Drawing Rights upon request, in the circumstances specified by the Fund as written in Article 19, Section 4 of the Fund Agreement as per Schedule 13 amended by the Second Amendment., and payment of such currency shall be made from the amended by the Act to Amend Certain Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075. Federal Consolidated Fund.

Added by the First Amendment. 4b. Obligation to reconstitute used Special Drawing Rights: Amended by the Second Amendment. The Minister of Finance of the Government of Nepal shall, on behalf of the Government of Nepal, cause reconstitution of any Special Drawing Rights used as written in Article 19, Section 6(a) of the Fund Agreement as per Schedule 13 amended by the Second Amendment., and all payments required to be made for such reconstitution shall be made from the amended by the Act to Amend Certain Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075. Federal Consolidated Fund. Added by the Second Amendment. 4c. Obligation to provide freely usable currency: Upon request for freely usable currency in accordance with the Fund Agreement, amended by the Act to Amend Certain Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075. the Minister of Finance of the Government of Nepal may provide such currency on behalf of the Government of Nepal. 5. Authority to issue Promissory Notes:

Amended by the Act to Amend Certain Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075. The Minister of Finance of the Government of Nepal may, on behalf of the Government of Nepal, create and issue in the name of the Fund or Bank non-interest-bearing and non-negotiable promissory notes or similar obligations in such form as he/she deems appropriate, as written in Article 3, Section 4 of the Fund Agreement as per Schedule 3 amended by the Second Amendment. and Article 5, Section 12 of the Bank Agreement as per Schedule 4, and payment of promissory notes or obligations so created and issued shall be made from the amended by the Act to Amend Certain Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075. Federal Consolidated Fund. 6.

Authority to borrow: Amended by the Act to Amend Certain Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075. The Minister of Finance of the Government of Nepal may, on behalf of the Government of Nepal, raise loans by creating and issuing in the name of Nepal Rastra Bank non-interest-bearing and non-negotiable promissory notes or similar obligations in such form as he/she deems appropriate, in order to arrange for amounts payable from the amended by the Act to Amend Certain Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075. Federal Consolidated Fund under this Act. (2) Notwithstanding anything contained in the Nepal Rastra Bank Act, 2058 Repealed by the Act to Amend Certain Nepal Acts, 2082, Nepal Rastra Bank may grant loans to the Minister of Finance based on promissory notes or obligations created and issued in accordance with the provision made in sub-section (1), and the amount of loans so taken shall be repaid within five years from the date of taking the loan. (3) The amount required for the payment of promissory notes or obligations created under sub-section (1) and issued in the name of Nepal Rastra Bank shall be paid from the Federal Consolidated Fund. 7. Nepal Rastra Bank designated as Fiscal Agent and Depository: (1) Nepal Rastra Bank is designated as the Fiscal Agent for the purposes of Article 5, Section 1 of the Fund Agreement as per Schedule 5, and as the Depository for the purposes of Article 13, Section 2 of the Fund Agreement as per Schedule 6. (2) Nepal Rastra Bank is designated as the Depository for the purposes of Article 5, Section 11 of the Bank Agreement as per Schedule 7. Added by the Second Amendment. (3) All work relating to receiving, using, and transferring Special Drawing Rights on behalf of the Government of Nepal, as well as other exchange transactions with the Fund, shall be carried out by Nepal Rastra Bank. 8. Status, Immunities and Privileges of the Fund and Bank: Amended by the First Amendment. (1) Notwithstanding anything contained in the prevailing Nepalese law, the Fund and Bank shall have the status, immunities and privileges as written in Article 9 of the Fund Agreement as per Schedule 8 and Article 7 of the Bank Agreement as per Schedule 9. (2) Notwithstanding anything contained in the prevailing Nepalese law, Special Drawing Rights, or operations and transactions thereof, shall have the status, immunities and privileges as per Article 9 of the Fund Agreement, as written in Article 21(b) as per Schedule 12 amended by the Second Amendment., and shall also be exempt from all kinds of taxes. 9.

Exchange contracts not enforceable: Notwithstanding anything contained in the prevailing Nepalese law, the matters written in Article 8, Section 2(b) of the Fund Agreement as per Schedule 10 regarding exchange contracts not being enforceable shall be fully applicable as law throughout Nepal Repealed by the Act to Consolidate the Republic and Amend Certain Nepal Laws, 2066 10. Power to amend Schedules: If any amendment is made to any matter in the Fund Agreement and Bank Agreement as per the Schedules to this Act, the Government of Nepal may, by publishing a notice in the Nepal Gazette from time to time, amend the Schedules to this Act accordingly. 11. Power to make Rules: The Government of Nepal may make rules for the purpose of implementing the objectives of this Act. 12. Repealed by the Act to Amend, Repeal and Re-enact Certain Nepal Acts, 2019. Schedule 1 International Bank for Reconstruction and Development 1818 H Street, N.W. Washington 25, D.C. Proposal No. 144 Membership for Nepal in the Bank Whereas, the

Government of Nepal, Nepal has applied for membership in the International Bank for Reconstruction and Development in accordance with Article 2, Section 1(b) of the Bank Agreement, Membership shall be open to other members of the Fund on terms specified by the Bank at such times. and Whereas, the Executive Directors, having consulted with the representatives of Nepal as per Article 20 of the Bank's By-Laws, have submitted a recommendation to the Board of Governors regarding this application, The Board of Governors hereby proposes to admit Nepal to membership in the Bank on the following terms and conditions: 1. Definitions: As used in this Proposal,- (a) "Bank" means the International Bank for Reconstruction and Development. (b) "Articles" means the Articles of Agreement of the Bank. (c) "Dollars" means United States dollars of the weight and fineness in effect on July 1, 1944. (d) "Subscription" means the subscription to the capital stock of the Bank by a member. (e) "Member" means a member of the Bank. 2. Subscription: Upon accepting membership in the Bank, Nepal shall subscribe to 100 shares of the capital stock of the Bank, each share having a par value of \$100,000. 3. Membership in the Fund: Before accepting membership in the Bank, Nepal shall accept membership in the International Monetary Fund and become a member of that Fund. 4.

Payment of Subscription: (a) Before accepting membership in the Bank, Nepal shall pay to the Bank, in respect of one-half of the subscription payable for those shares, as follows: (1) 2 percent of such amount in gold or United States dollars, and (2) 18 percent of such amount in the currency of its country, at the prevailing exchange rate. (b) The 2 percent portion payable in gold or United States dollars and the 18 percent portion payable in the member's currency, in respect of the other one-half of the subscription payable for those shares, shall be kept uncollected in accordance with Proposal No. 129, on the same basis as the 2 percent and 18 percent portions of the subscription amount under the Board of Governors' Proposal No. 128. 5. Certification and Notice: Before accepting membership in the Bank, Nepal shall give the Bank certification that it has taken all necessary steps to sign and deposit the instrument of acceptance and to sign the Articles as written in paragraphs 6(d) and (e) of this Proposal, and Nepal shall give the Bank such notice as the Bank may request regarding those steps. 6. Acceptance of Membership: Nepal shall become a member of the Bank as a subscriber as written in paragraph 2 of this Proposal on the date on which it fulfills the following requirements: (a) Become a member of the International Monetary Fund, (b) Pay the amounts requested for payment as per paragraph 4 of this Proposal, (c) Give the certification and notice requested as per paragraph 5 of this Proposal, (d) Deposit with the Government of the United States of America an instrument certifying that, in accordance with its laws, Nepal has accepted all the terms and conditions written in this Proposal and the Articles and has taken all necessary steps to fulfill all its obligations under the Articles and this Proposal, (e) Sign the original copy of the Articles deposited in the archives of the Government of the United States of America. 7. Time Limit for Acceptance of Membership: Nepal may accept membership in the Bank under this Proposal by March 31, 1961, but if the Executive Directors find that the time limit for accepting membership under this Proposal needs to be extended due to exceptional circumstances, they may extend such period.

Schedule 2 Proposal Regarding Membership of Nepal Whereas, the Government of Nepal, Nepal submitted an application on April 13, 1960, for membership in the International Monetary Fund in accordance with Article 2, Section 2 of the Articles of Agreement of the Fund, and Whereas, the Executive Directors, having consulted with the representatives of the said Government as per Article 21 of the Fund's By-Laws, have, in the opinion of the Executive Directors, approved the terms that may be specified by the Board of Governors for admitting Nepal to membership in the Fund, The Board of Governors, having considered the recommendation of the Executive Directors, hereby proposes to admit Nepal to membership in the Fund on the following terms and conditions: 1. Definitions: As used in this Proposal- (a) "Fund" means the International Monetary Fund. (b) "Articles" means the Articles of Agreement of the International Monetary Fund. (c) "Dollar" means United States dollars of the weight and fineness in effect on July 1, 1944. 2. Quota:

Nepal's quota shall be \$7,500,000 (seven million five hundred thousand dollars). 3. Subscription: Nepal's subscription shall be equal to its quota, and at least 3 1/2 percent of the subscription shall be paid in gold and the remainder in Nepalese currency. 4. Payment of Subscription: The portion of the subscription payable in gold shall be paid by Nepal by the date of signature of the Articles on its behalf. If for any reason Nepal does not obtain membership in the Fund, the gold so paid shall be returned by the Fund to Nepal. The remaining portion of the subscription not paid in gold shall be paid in Nepalese currency within thirty days after the initial par value is agreed, in accordance with paragraph 5 below. 5. Determination of Par Value: Within 30 days of such request by the Fund, Nepal shall notify the Fund of the proposed par value of its currency, and within 60 days of the receipt of such proposed par value by the Fund, the initial par value of the currency shall be agreed upon between Nepal and the Fund; provided that the Fund may extend such 60-day period, and if the extended period expires without agreement on the par value, Nepal shall be deemed to have withdrawn from the Fund.

The exchange rate prevailing at the time of Nepal's acceptance of membership shall not be changed without prior consultation with the Fund during the period between acceptance of membership and the determination of the initial par value in accordance with this paragraph. 6. Exchange Transactions with the Fund: Nepal shall not engage in exchange transactions with the Fund-

(a) before the thirtieth day after agreement on the par value of its currency as per paragraph 5 above, and

(b) before it has fully paid its subscription. 7. Certification and Notice: Before accepting membership in the Fund, Nepal shall give the Fund certification that it has taken all necessary steps to sign and deposit the instrument of acceptance and to sign the Articles as written in paragraphs 8(a) and (b) of this Proposal, and Nepal shall give the Fund such notice as the Fund may request regarding those steps. 8. Acceptance of Membership: After the Fund notifies the Government of the United States of America that Nepal has fulfilled the conditions given in paragraph 7 of this Proposal, Nepal shall become a member of the Fund on the date on which it fulfills the following:

(a) Nepal shall deposit with the Government of the United States of America an instrument certifying that, in accordance with its laws, Nepal has accepted all the terms and conditions mentioned in this Proposal and the Articles and has taken all necessary steps to fulfill all its obligations under the Articles and this Proposal, and

(b) Nepal shall sign the original copy of the Articles deposited in the archives of the Government of the United States of America. 9. Time Limit for Acceptance of Membership: Nepal may accept membership in the Fund under this Proposal within 6 months from the date this Proposal becomes effective, which shall be the date it is approved by the Board of Governors; provided that if the Executive Directors find that the time limit for accepting membership under this Proposal needs to be extended due to exceptional circumstances, they may extend such period or set a later time limit. Schedule 3

Article 3, Section 4 of the Articles of Agreement of the International Monetary Fund

Section 4. Acceptance of obligations in lieu of currency: The Fund shall accept from any member, in lieu of any part of the member's currency held in the Fund's General Account that the Fund decides is not needed for its transactions and operations, notes or similar obligations issued by the member or by the depository designated by the member under Article 13, Section 2, which are non-negotiable, non-interest-bearing, and payable at their face value on demand by crediting the Fund's account with the designated depository.

This Section shall apply not only to currency received as a subscription from members but also to any currency otherwise due or received by the Fund and held in the General Account. Schedule 4

Article 5, Section 12 of the Articles of Agreement of the International Bank for Reconstruction and Development

Section 12. Form of holdings of currency: The Bank shall accept from any member, in lieu of any part of the member's currency paid to the Bank under Article 2, Section 7(1) Under Article 2, Section 7(1), two percent of the price of each share under Section 5(1) of this Article shall be payable in gold or United States dollars, and, upon notice of payment, the remaining eighteen percent shall be payable in the member's own currency. or in lieu of any part of such currency tendered in repayment of loans made in such currency, or in lieu of any part of such currency not needed in its operations, notes or similar obligations issued by the government of the member or by the depository designated by the member, which are non-negotiable, non-interest-bearing, and payable at their par value on demand by crediting the Bank's account with the designated depository. Schedule 5

Article 5, Section 1 of the Articles of Agreement of the International Monetary Fund

Article 5, Section 1. Agencies dealing with the Fund: Each member shall deal with the Fund through its Treasury, central bank, stabilization fund, or similar fiscal agency, and the Fund shall deal only with or through such agencies. Schedule 6

Article 13, Section 2 of the Articles of Agreement of the International Monetary Fund

Article 13, Section 2. Depositories: (a) Each member country shall designate its central bank as a depository for all its currency holdings with the Fund, or, if it has no central bank, it shall designate such other institution as may be acceptable to the Fund.

(b) The Fund may hold other assets, including gold, in the designated depositories of the five members having the largest quotas and in such other designated depositories as the Fund may select. Initially, at least one-half of the Fund's holdings shall be held in the depository designated by the member in whose territory the Fund's principal office is located, and at least forty percent shall be held in the depositories designated by the remaining four members referred to above. However, all transfers of gold by the Fund shall be made with due regard to the costs of transport and the expenses that may be incurred by the Fund. In exceptional circumstances, the Executive Directors may transfer all or any part of the Fund's gold holdings to a location where they may be adequately protected.

Schedule 7 Article 5, Section 11 of the Articles of Agreement of the International Bank for Reconstruction and Development Section 11. Depositories: (a) Each member country shall designate its central bank as a depository for all its currency holdings with the Bank, or, if it has no central bank, it shall designate such other institution as may be acceptable to the Bank. (b) The Bank may hold other assets, including gold, in the designated depositories of the five members having the largest number of shares and in such other designated depositories as the Bank may select. Initially, at least one-half of the Bank's holdings shall be held in the depository designated by the member in whose territory the Bank's principal office is located, and at least forty percent shall be held in the depositories designated by the remaining four members referred to above. Each such depository shall initially be entitled to hold an amount of gold not less than that paid by the member designating it in respect of its shares. However, all transfers of gold by the Bank shall be made with due regard to the costs of transport and the expenses that may be incurred by the Bank. In exceptional circumstances, the Executive Directors may transfer all or any part of the Bank's gold holdings to a location where they may be adequately protected. Schedule 8 Article 9 of the Articles of Agreement of the International Monetary Fund - Status, Immunities and Privileges Article 9, Section 1. Purpose of Article: To

enable the Fund to fulfill the functions with which it is entrusted, the status, immunities and privileges provided in this Article shall be accorded to the Fund in the territories of each member. Section 2. Status of the Fund: The Fund shall possess juridical personality and shall have the authority, in particular, to: I. enter into contracts; II. acquire or dispose of movable and immovable property; III. institute legal proceedings. Section 3. Immunity from judicial proceedings: The Fund, its property and assets, wherever located and by whomsoever held, shall be immune from every form of judicial proceedings except to the extent that the Fund expressly waives its immunity for the purpose of any proceedings or by the terms of any contract. Section 4. Immunity from other action: The property and assets of the Fund, wherever located and by whomsoever held, shall be immune from search, requisition, confiscation, expropriation or any other form of seizure by executive or legislative action. Section 5.

Immunity of archives: The archives of the Fund shall be inviolable. Section 6. Freedom of assets from restrictions: To the extent necessary to carry out the operations provided for in this Agreement, all property and assets of the Fund shall be free from restrictions, regulations, controls and moratoria of any nature. Section 7. Privilege for communications: The official communications of the Fund shall be accorded by members the same treatment as the official communications of other members. Section 8. Immunities and privileges of officers and employees: All Governors, Executive Directors, Alternates, Added by the Second Amendment, members of committees, representatives appointed under Article 12, Section 3(j) of the Agreement, and advisors, officers and employees of any of the persons mentioned above, shall enjoy: I. immunity from legal proceedings with respect to acts performed in their official capacity except when the Fund waives this immunity; II. when they are not local nationals, the same immunities from immigration restrictions, alien registration requirements, and national service obligations and the same facilities as regards exchange restrictions as are accorded by members to the representatives, officials and employees of comparable rank of other members; III. the same travel facilities as are accorded by members to representatives, officials and employees of comparable rank of other members. Section 9. Tax exemptions: (a) The Fund, its assets, property, income and its operations and transactions authorized by this Agreement shall be exempt from all taxation and from all customs duties. The Fund shall also be exempt from liability for the payment or collection of any tax or duty. (b) No tax shall be levied on any salary or emolument paid by the Fund to Executive Directors, Alternates, officers or employees of the Fund who are not local citizens, local subjects, or other local nationals. (c) No tax of any kind shall be levied on any obligation or security issued by the Fund, including any dividend or interest thereon, by whomsoever held: (1) if it discriminates against such obligation or security solely because of its origin; or (2) if the sole jurisdictional basis for such tax is the place or currency in which it is issued, made payable or paid, or the location of any office or place of business maintained by the Fund. 10.

Application of Article: Each member shall take such action as is necessary in its territory to give effect to the principles set forth in this Article in accordance with its own laws and shall inform the Fund of the full details of the action it has taken. Schedule 9 Article 7 of the Articles of Agreement of the International Bank for Reconstruction and Development - Status, Immunities and Privileges Article 7, Section 1. Purpose of Article: To enable the Bank to fulfill the functions with which it is entrusted, the status, immunities and privileges provided in this Article shall be accorded to the Bank in the territories of each member. Section 2. Status of the Bank: The Bank shall possess juridical personality and shall have the authority, in particular, to: (1) enter into contracts; (2) acquire or dispose of movable and immovable property; (3) institute legal proceedings. Section 3. Position of the Bank with regard to judicial proceedings: Actions may be brought against the Bank only in a court of competent jurisdiction in the territories of a member in which the Bank has an office, has appointed an agent for the purpose of accepting service or notice of process, or has issued or guaranteed

securities. No action shall be brought by members or persons acting for or claiming from members. The property and assets of the Bank shall, wheresoever located and by whomsoever held, be immune from all forms of seizure, attachment or execution before the delivery of final judgment against the Bank. Section 4. Immunity of assets from seizure: The property and assets of the Bank, wherever located and by whomsoever held, shall be immune from search, requisition, confiscation, expropriation or any other form of seizure by executive or legislative action. Section 5. Immunity of archives: The archives of the Bank shall be inviolable. Section 6. Freedom of assets from restrictions: To the extent necessary to carry out the operations provided for in this Agreement and subject to the provisions of this Agreement, all property and assets of the Bank shall be free from restrictions, regulations, controls and moratoria of any nature. Section 7. Privilege for communications: The official communications of the Bank shall be accorded by members the same treatment as the official communications of other members. Section 8.

Immunities and privileges of officers and employees: All Governors, Executive Directors, Alternates, officers and employees of the Bank shall enjoy: (1) immunity from legal proceedings with respect to acts performed in their official capacity except when the Bank waives this immunity; (2) when they are not local nationals, the same immunities from immigration restrictions, alien registration requirements, and national service obligations and the same facilities as regards exchange restrictions as are accorded by members to the representatives, officials and employees of comparable rank of other members; (3) the same travel facilities as are accorded by members to representatives, officials and employees of comparable rank of other members. Section 9. Tax exemptions: (a) The Bank, its assets, property, income and its operations and transactions authorized by this Agreement shall be exempt from all taxation and from all customs duties. The Bank shall also be exempt from liability for the payment or collection of any tax or duty. (b) No tax shall be levied on any salary or emolument paid by the Bank to Executive Directors, Alternates, officers or employees of the Bank who are not local citizens, local subjects, or other local nationals. (c) No tax of any kind shall be levied on any obligation or security issued by the Bank (including any dividend or interest thereon), by whomsoever held: (1) if it discriminates against such obligation or security solely because of its origin; or (2) if the sole jurisdictional basis for such tax is the place or currency in which it is issued, made payable or paid, or the location of any office or place of business maintained by the Bank. (d) No tax of any kind shall be levied on any obligation or security guaranteed by the Bank (including any dividend or interest thereon), by whomsoever held: (1) if it discriminates against such obligation or security solely because of the Bank's guarantee; or (2) if the sole jurisdictional basis for such tax is the location of any office or place of business maintained by the Bank. 10. Application of Article: Each member shall take such action as is necessary in its territory to give effect to the principles set forth in this Article in accordance with its own laws and shall inform the Bank of the full details of the action it has taken.

Schedule 10 Article 8, Section 2(b) of the Articles of Agreement of the International Monetary Fund Article 8, Section 2(b): Exchange contracts which involve the currency of any member and which are contrary to the exchange control regulations of that member maintained or imposed consistently with this Agreement shall be unenforceable in the territories of any member. In addition, members may, by mutual accord, cooperate in measures for the purpose of making the exchange control regulations of either member more effective, provided that such measures and regulations are consistent with this Agreement. Schedule 11 Article 15 of the Fund Agreement Article 15, Section 1. Authority to allocate Special Drawing Rights: The Fund shall have the authority to allocate Special Drawing Rights to participants in the Special Drawing Rights Account to meet the need for supplementing existing reserve assets. Article 15, Section 2. Valuation of Special Drawing Rights: The method of valuation of Special Drawing Rights shall be determined by the Fund by a majority of seventy percent of the total voting power; provided, however, that if a change in the principle or fundamental

nature of the method of valuation is required, a majority of eighty-five percent of the total voting power shall be necessary. Article 16, Section 3 of the Fund Agreement Article 16, Section 3. Records and information: All changes in holdings of Special Drawing Rights shall take effect only when recorded by the Fund in the Special Drawing Rights Account. Participants shall notify the Fund of the provision of this Agreement under which Special Drawing Rights are used. The Fund may require participants to provide it with such information as is necessary for its operations. Article 17, Section 1 of the Fund Agreement Article 17, Section 1. Participants: Each member that deposits with the Fund an instrument setting forth that it undertakes all the obligations of a participant in the Special Drawing Rights Account in accordance with its law shall become a participant as of the date the instrument is deposited; provided, however, that no member shall become a participant until all Articles relating to Special Drawing Rights have taken effect and until members having at least seventy-five percent of total quotas have deposited instruments under this Section. Article 22 of the Fund Agreement Article 22.

General obligations of participants: In addition to the obligations assumed with respect to Special Drawing Rights under other Articles of this Agreement, each participant undertakes to cooperate with the Fund and with other participants in order to facilitate the effective functioning of the Special Drawing Rights, to ensure the proper use of Special Drawing Rights in accordance with this Agreement, and to make the Special Drawing Rights a principal reserve asset in the international monetary system. Schedule 12 Article 21(b) of the Fund Agreement Article 21(b): Special Drawing Rights, or operations and transactions thereof, shall not be subject to any taxation, in addition to the privileges, status and immunities provided under Article 9 of this Agreement. Schedule 13 Section 4 of Article 19 of the Fund Agreement Amended by the Second Amendment. Article 19, Amended by the Second Amendment. Section 4. Obligation to provide currency: A participant specified by the Fund under Section 5 of this Article shall provide added by the First Amendment. freely usable currency upon request to a participant using Special Drawing Rights under Section 2(a) of this Article. The obligation of a participant to provide currency shall be limited to the extent that the net cumulative allocation of Special Drawing Rights to that country exceeds twice the net cumulative deficit, or up to such higher limit as may be agreed between the Fund and the participant. A participant may provide currency in excess of the mandatory or agreed limit. Section 5 of Article 19 Amended by the Second Amendment. Article 19, Amended by the Second Amendment. Section 5. Designation of participants to provide currency: (a) The Fund shall determine, for the purposes of Sections 2(a) and 4 of this Article, the participants that shall provide currency for certain amounts of Special Drawing Rights, thereby enabling participants to use their Special Drawing Rights. Designation shall be based on the following general principles and principles adopted by the Fund from time to time: (1) Participants with a sufficiently strong balance of payments and overall reserve position may be designated. However, this shall not preclude the designation of a participant with a strong overall reserve position even if it has a moderate deficit in its balance of payments.